

sense in some cases such as green energy because you can get a cheaper cost of debt as there is a set of debt investors who want to invest in green projects. But in airports, full unlocking seems a bit early. There's obviously no such benefit in petrochemicals, so it is better off being part of AEL. So, we believe there's no real benefit at this point in spinning off too much. Roads maybe... but I don't know. Ultimately, all of this is their call as they have a very good long-term record, so let them decide.

I think, big picture-wise, unlocking makes sense only in the long term.

of me to say that I can improve what they are doing. I think they have done just fine without me. I don't think they need my advice. Our view is that most of the time, good management does its job and our clients enjoy the returns. The Adani [Group] doesn't need people like me to tell them what to do. Just don't deleverage too much and this is the time to go full throttle. That is my view.

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Will you be comfortable if they raise money by selling equity?

The question of dilution [of stake] is always: at

capital. Markets typically pay higher multiples to companies that don't need extra capital.

However, there are select businesses that can deploy more capital and give high returns. That is a very rare phenomenon. Most good businesses don't need extra capital as they generate enough cash. The problem starts when companies start doing stuff that is not generating higher returns. We believe the Adani Group can deploy a lot of capital without diluting incremental returns, just like HDFC Bank did in its initial journey. We

Warren Buffett owned 55 per cent of Berkshire Hathaway for the longest time. Bill Gates, when Microsoft listed, owned more than half of the company. That's a good thing... Whether it's 70 per cent or 73 per cent, who cares! In fact, for a business that has created almost \$130-140 billion worth of equity, it has not really raised that much equity if you look at its history. And what is the test for that? There's a simple back-of-the-envelope test. It has not diluted its stake.

Why does Jeff Bezos own a lot less [of Amazon] than Bill Gates [does of Microsoft]? Amazon had more cash losses in the early years than Microsoft. So, it had to issue more equity or give employees stock options. Microsoft was profitable from the get-go. So, if a promoter has a higher insider stake after 10-20 years, it means that the business generates a lot of free cash on its own. We like high insider ownership—the higher the better.

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I LIKE TO MAKE LARGE, CONCENTRATED BETS... OUR INDIA BOOK IS RELATIVELY CONCENTRATED IN JUST A HANDFUL OF NAMES. THAT'S HOW ONE CAN DELIVER GOOD RETURNS

But you don't have to hurry as it reduces flexibility. That's where related-party transactions, acquisitions, and many other things that cause friction come in. This is the time to keep your foot on the accelerator. And if the market doesn't agree with it, so be it.

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Will you work closely with the group in terms of strategy and future direction?

It will be too arrogant

what return are we going to reinvest the capital? If you look at HDFC Bank, it has raised equity multiple times in the past. I invested in HDFC Bank from 2001 onwards. It made as many as, I think, four or five equity offerings over the past two decades. And the client accounts that I managed participated in every one of them. It doesn't need it now. There are businesses that generate very high returns, but they cannot deploy more

want to own more of such businesses.

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The Adani Group is now willing to go below 75 per cent equity stake, which was not the case earlier...

There is plenty of evidence [of that]. Companies that have high insider ownership tend to be better than companies that have low insider ownership. When we study Europe and the US,

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Despite the massive fall or value correction, none of the mutual funds in India bought into Adani companies. Does that bother you?

Why should I care? I am not being arrogant here. There are a hundred ways to heaven. Everybody must find their own way to make money. And I'm not here to judge. People can make money in many different ways. **BT**

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